the verge of filing for it. A bond has a contractual value, even a distressed bond selling at a deep discount to par. Thus I could do away with the nebulous concept of a "true value." I knew what I would recover if the value of the assets or business covered the face value of my claims. Second, the Efficient Market Hypothesis starts with the important assumption of perfect liquidity, meaning that there are always willing buyers and sellers. While liquidity is, if not perfect, excellent for large capitalization stocks, distressed assets are liquid as quicksand and forced sellers abound. This means that I could ignore the debilitating notion that securities are perfectly priced. The distressed investor is left with the challenge of evaluating what payment is available and how to get it. In that respect, Graham and Dodd are the messiahs of distressed investing, their method highly relevant and oftentimes prescient, their book a terrific recipe for long-term investment success.

The first commandment of the distressed investor is to focus on the downside. That is my read of Graham and Dodd's "margin of safety" concept: not the distance to the promised land of an intrinsic value, but how much further a bond will drop if things go wrong, which, for a distressed company, is quite probable. When reading "the primary aim of the bond buyer must be to avoid trouble and not to protect himself in the event of trouble," you may chuckle: aren't we already in trouble with distressed companies? (Chap. 6) Trust me, things can always get uglier. Repeat 100 times until memorized: "The purchaser of low-priced bonds is fully aware of the risk he is running; he is more likely to make a thorough investigation of the issue and to appraise carefully the chances of loss and of profit; finally—most important of all—he is prepared for whatever losses he may sustain, and his profits are in a form available to meet his losses." (Chap. 7)

How, pray, will this purchaser make a thorough investigation? Why, they will look not only at the income statement, but also at the balance sheet. "We have expressed our conviction that the balance sheet